



UNIVERSITY OF AMSTERDAM

Online Review-Rating Platforms & Analytics

Search Marketing: Search Engine Advertising & Optimization

Digital Marketing and Analytics: Week 4

Academic Year 2025-2026 – Semester 1 – Block 2

AMSTERDAM
BUSINESS
SCHOOL

Business

Online Reviews & Ratings

Online Ratings & Reviews

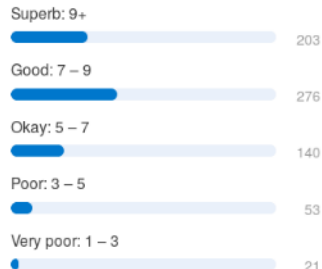
Online Ratings: Mostly numeric data (i.e. 1-5 score, 1-10 score) – but sometimes emojis can be used too (i.e. Booking.com example below)

Online Reviews: Textual data. Requires sentiment/semantic analytics or text mining for analysis.

Different platforms have varying **STRUCTURES** for reviews.

Booking.com 1-10 Scale Ratings

Score overview



Booking.com Emoji Based Ratings

2. Rate this property:

Your ratings will impact the review score

Staff	☐	☐	☐	☒
Facilities	☐	☒	☐	☐
Cleanliness	☐	☒	☐	☐
Comfort	☒	☐	☐	☐
Value for money	☒	☐	☐	☐
Location	☐	☐	☐	☒

We've calculated your overall review score: 9.8

Booking.com 1-10 Rating Score Combined w/ Textual Review

Robert, (pt)
Reservation Number 2043425467
New!

Oct 22, 2019 9.0

Staff	10	Cleanliness	10
Location	10	Facilities	7.5
Comfort	7.5	Value for money	10

Very relaxing if a little damp at this time of the year.

Breakfast was not an option which was not a problem as we had use of a fully fitted kitchen. Our Hosts Elena and Jerry could not have been more helpful and took pleasure in directing us around the island.

Unfortunately our timing was way off as there had been a hurricane two weeks before our arrival and two out of our four full days were misty and rainy, so whale watching and travel to other islands was not an option, will be back in summer months next time.

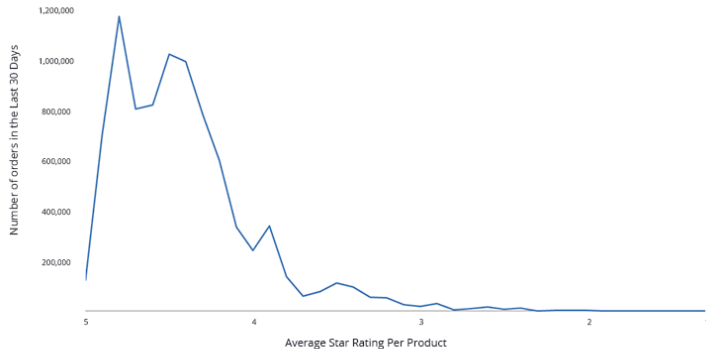
Ratings & Review Analytics: Start with Asking a Relevant Question

评论/评分分析是指侧重于因果关系的复杂分析。

Review/Rating analytics refers to sophisticated analysis focusing on CAUSAL relationships > Some Examples of Interesting Questions:

- **What happens** when a firms increase by one star (4 to 5) ?
- **What is the impact** of my online reviews' sentiment score from positive (7) to very positive (9) ?
- **To what extent** my hotel's bookings are **influenced by** online customer reviews ? Should I really focus on improving my review scores?

Average Star Rating and Number of Orders



Figures courtesy of Yotpo's global user database of over 100,000 online businesses, March 2015.

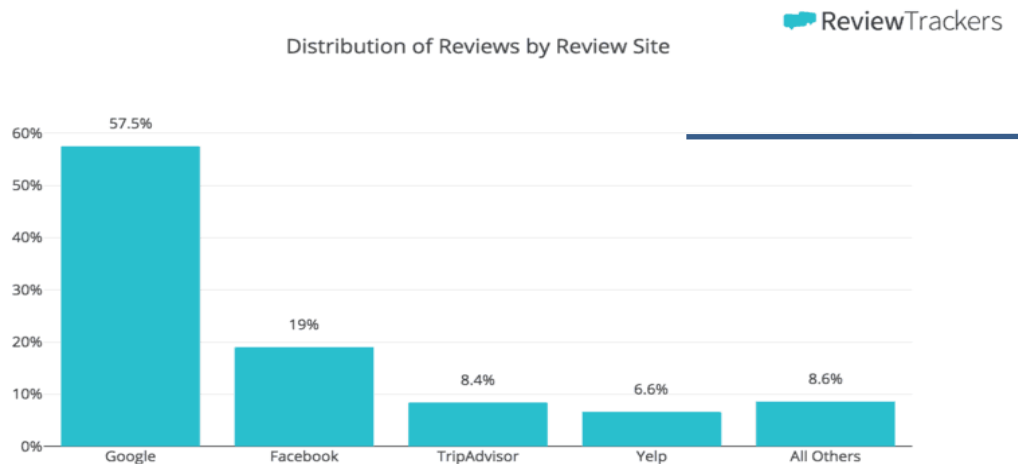
Data Driven by 

Customer Ratings – 15-Day Comparison		
Metric	Before (no rating)	After (five-star rating)
Clicks	7,138	4,525
Orders	31	47
Conversion Rate	0.44%	1.04%

Online Review-Rating Platforms

There are thousands of platforms where customers generate reviews: However; most reviews are created on 8-10 key widely-used platforms.

Google has grown to be the **largest online review platform** in recent years.



Google = Largest review platform
Does it mean it is per-se the most influential one?

NO Specialized (yet smaller) platforms can be
very influential on customer decision in their field
Think of TripAdvisor (Hotels),
Yelp/Fork for restaurants

Rating Scores Vary by Platform

Same numbers **does not** refer to same “like” or “success” level:

Characteristics, pattern of reviews and the user population per platform is essential

Anybody using VIVINO (wine review app) or UBER in class?

What do you understand from a 4,2 review score on VIVINO or Google. How does it sound to have 4,2 on UBER ?



Source (Graph): <https://1118wines.com/blogs/news/are-vivino-ratings-credible>

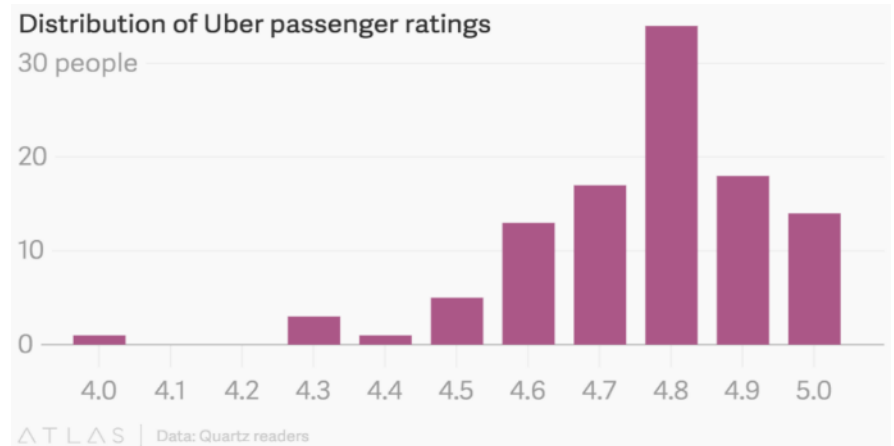
Source (Visual): VIVINO company website > www.vivino.com

Rating Scores on Different Platforms

On VIVINO: “4” implies a very good wine

On UBER platform: “4” is considered considerably (almost very) negative

It is always best to have a good understanding of the DISTRIBUTION of review scores on different platforms.



Source (Graph): Company Website > <https://www.vivino.com/wine-news/vivino-5-star-rating-system>

Source (Graph): Company Website > <https://www.theatlantic.com/charts/4y8zfUM9>

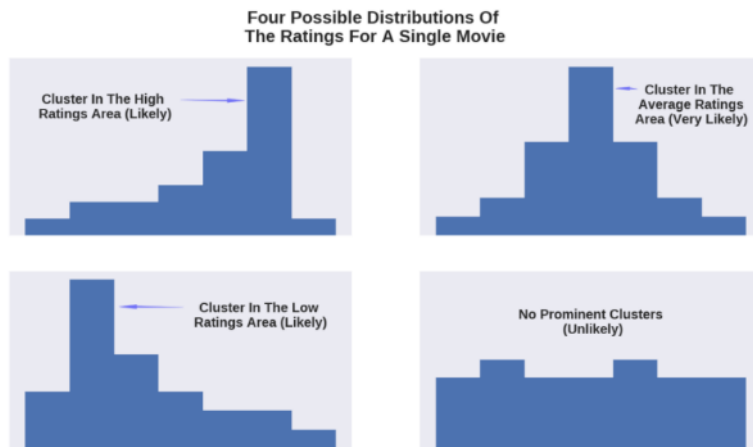
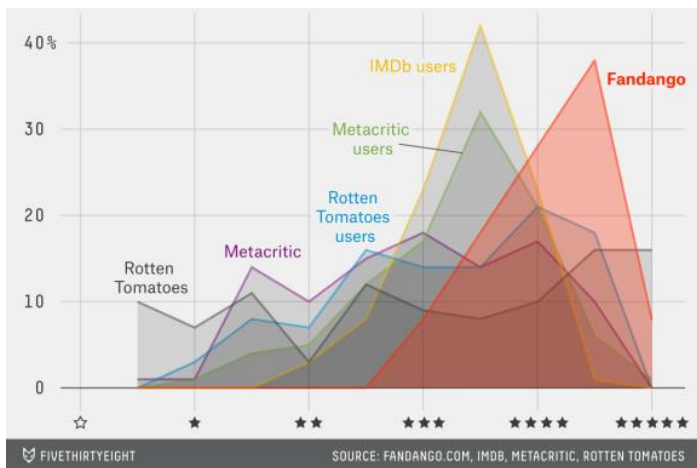
Rating Scores on Different Platforms: Distributions

Check how 5-star rating scores and their distribution vary depending on the platform.

Do you see how movies rated highly on FANDANGO and lowly on METACRITIC. What do you think would be the reason for that ?

To which distribution would you more likely allocate UBER ratings ? VIVINO ? Booking.com ?

Knowing distribution is essential to decide your analysis scale, transformations and statistical-regression model (UBER: 4 to 5)



评分高度分散，没有共识，是很不常见的情况。

Source: <https://fivethirtyeight.com/features/ghostbusters-is-a-perfect-example-of-how-internet-ratings-are-broken/>

Source (Graph): <https://www.freecodecamp.org/news/whose-reviews-should-you-trust-imdb-rotten-tomatoes-metacritic-or-fandango-7d1010c6cf19/>

Textual Reviews: Value and Use

Textual-Reviews capture customers' stories, anecdotes, **feelings and emotional reactions** to a product/service.

Therefore they contain a lot of rich-valuable information and mostly **tells us a lot more than** star/score ratings.

*Textual data is **unstructured data** and not per-se ready for the statistical analysis >*

*Mostly **QUANTIFIED** (structured) before analysis two step process: **(1) scraping and (2) sentiment analysis***. (remember what we have learned in Tutorials Week2)*

"Id rather sleep on the street"
●○○○○ Reviewed 21 July 2010

This is by far the worst place ive stayed in. i found a cats paw in my pillow case. Also ahd chest of drawers with no drawers in them, a cupboard with no back a double bed the size of a hammock made of concrete. Communal toilets with no locks. Our neighbour lived in it had tv on all day and nite didnt close door. It should be named Alcatraz. Also, pay...

More ▾

Stayed November 2009, travelled as a couple

●○○○○ Value	●○○○○ Rooms
●●●●● Location	●○○○○ Cleanliness
●○○○○ Sleep Quality	●○○○○ Service

Was this review helpful? 5

yelp

 **Ross F.** 9/7/2014
👤 21 📅 6

★★★★★

The entire kitchen and wait staff saw an ice cream truck and ran outside, leaving me alone in the restaurant. 10 minutes later they all came back with ice cream cones.

I still can't believe this actually happened.

💡 Useful 136 😄 Funny 540 ❄️ Cool 154

Text Reviews: Sentiment Score - Rating Score Mismatch

Reasons of Mismatch:

Positive/negative keywords → decide sentiment analysis

Comparison of different product → wrong identification

No positive and negative keywords → "Neutral"

Check: Lecture 3 on Sentiment Analysis for more reasons of mismatch

Rating	Sentiment analysis	Review keywords
5.00	Negative	"uncomfortable to wear" & "I noticed that I sometimes have difficulty getting them to reconnect" "the Bose connection method is 10 times better"

Rating	MonkeyLearn- Sentiment Analysis	Title	Review
1.00	Positive		I'm asking how long do they play without having to charge them?
2.00	Positive	good sound but overpriced	the headphones has great sound as expected from bose but are overpriced
2.00	Positive	Okay headphones	This is the 2nd time I have had to my QuietControl 30's replaced. Pretty sure the speaker
1.00	Neutral	Terrible Construction, Great Sound...	This is the second pair of Bose noise canceling earphones
4.00	Negative	love and hated	I got these for phone calls and to use while traveling. However the problem is they would
4.00	Negative	Be careful. Items are not new	BE AWARE OF WHO YOU MAKE THE PURCHASE FROM AND THE CONDITION!! I bou
5.00	Negative	Spectacularly Awesome!!!	If you go to the Apple Store they are going to tell you to buy the Beats Wireless or the A
5.00	Negative	AirPods May Look Good but Never Work	I have had AirPods for under a year and have been experiencing issues with them for a

Ratings & Reviews

Impact & Consequences of Ratings/Reviews

Impact of Reviews: Mere Presence Matters

Only (and only) HAVING reviews -no matter positive or negative- has an impact. Thus **having reviews is good for a brand.**

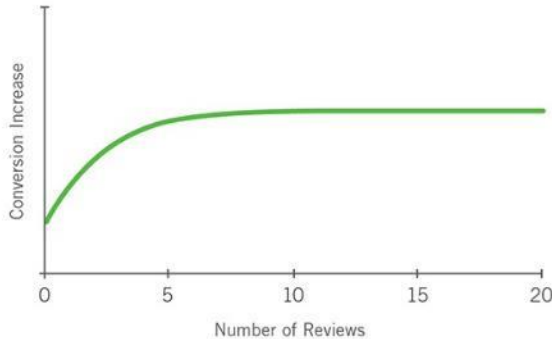
The **purchase likelihood** for a product **with reviews** is greater than the purchase likelihood of a product with **no reviews**.

*For **higher-priced** products having reviews matter even more. The conversion (%) increase for high-priced products is higher w/ reviews*

有评价的产品比没有评价的产品更有可能被购买。

对于价格较高的产品，评价的重要性更加突出。高价产品的转化率提升幅度（%）在有评价的情况下更高。

THE FINANCIAL IMPACT OF
DISPLAYING REVIEWS



HIGHER-PRICED PRODUCTS, HIGHER
CONVERSION IMPACT



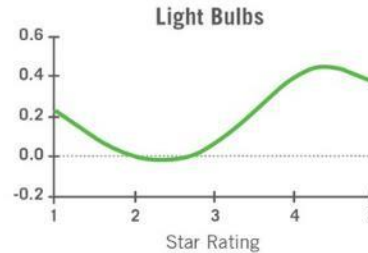
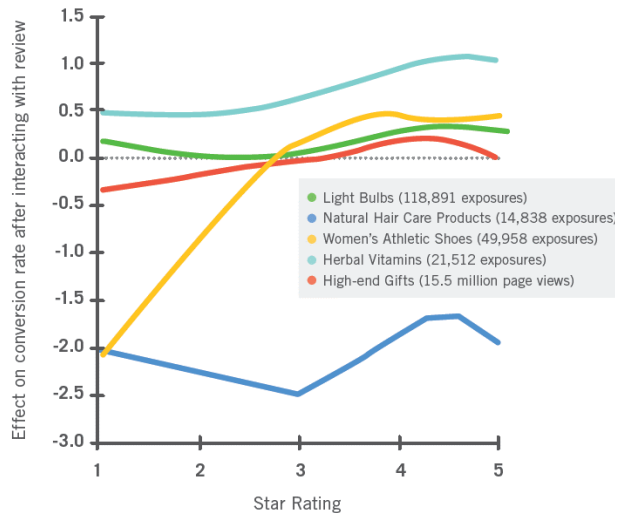
Star Ratings' Impact on Purchase

Can 4,5 be better than 5,0 stars?: "Too Good to be True" Effect

Purchase likelihood typically peaks at ratings in the 4.0 - 4.7 range, and then **begins to decrease as ratings approach 5.0**.

Shoppers are skeptical about overly positive ratings > Negative reviews matter: Most shoppers actively seek out negative reviews.

Do you also feel/experience a similar effect while making decisions on the basis of star ratings?



Source: Ewa Maslowska, Edward C. Malthouse & Stefan F. Bernritter (2017) Too good to be true: the role of online reviews' features in probability to buy, International Journal of Advertising, 36:1, 142-163

What Makes an Online Review (Perceived) as more Helpful

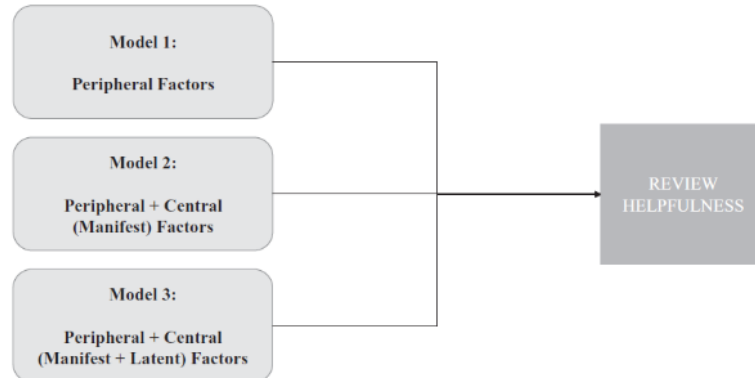
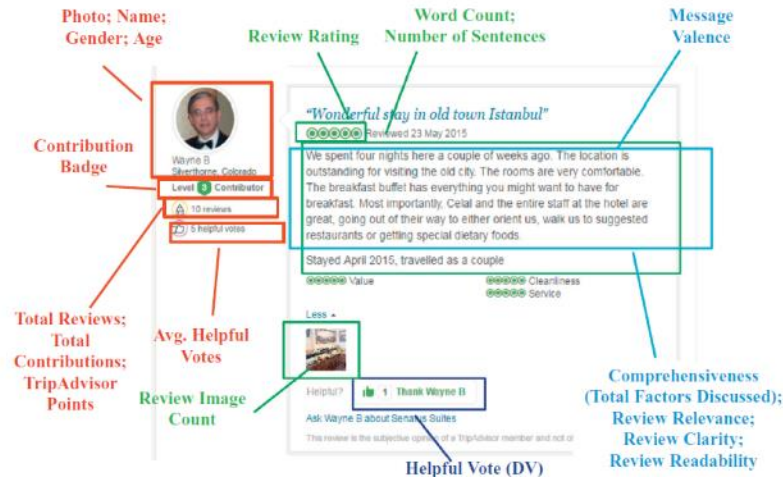
Please check the review-rating components in the figure carefully:

Which factors do have the most impact on perceived helpfulness of a customer-user review?

Peripheral (Reviewer) Factors = RED

Central Manifest (Content) Factors = GREEN

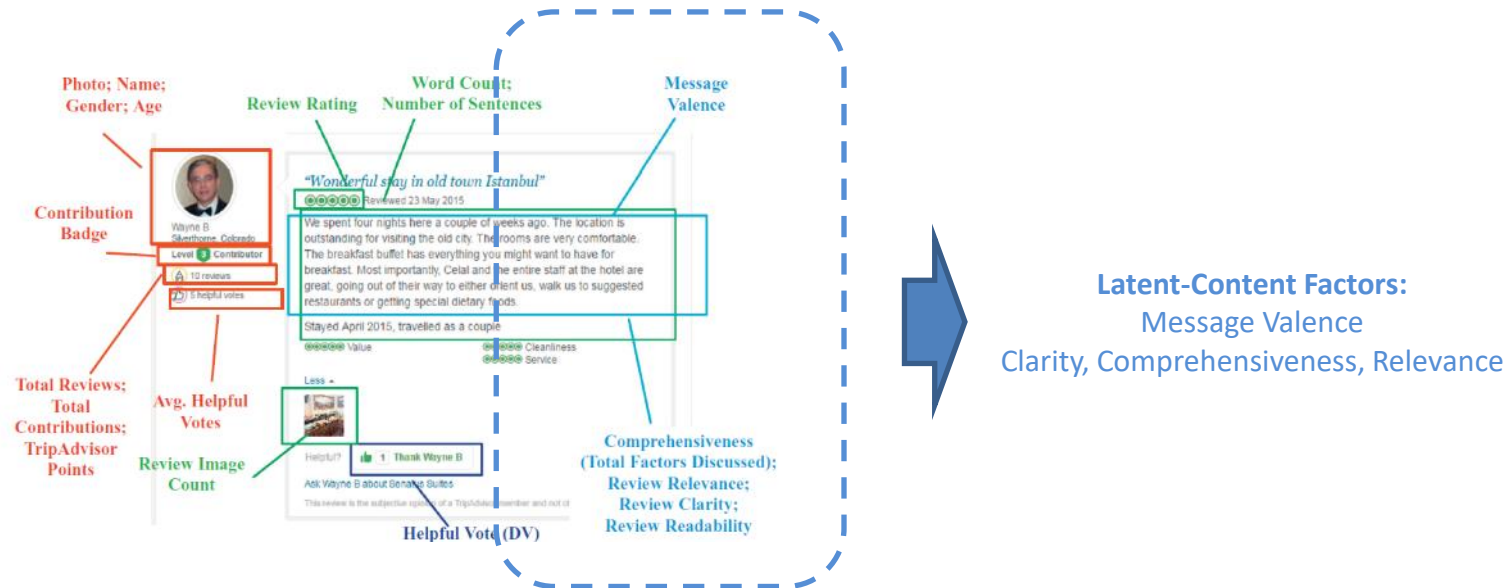
Central Latent (Content) Factors = BLUE



What Makes an Online Review (Perceived) as more Helpful

Central/Latent (Content) factors such as: **argument quality (comprehensiveness, relevance to the experience)** and **review valence**, influence the helpfulness of the reviews better and beyond (b) manifest content and (c) reviewer related factors.

*This result also implies that **most users READ** the reviews in detail.*



The Impact of Review Images

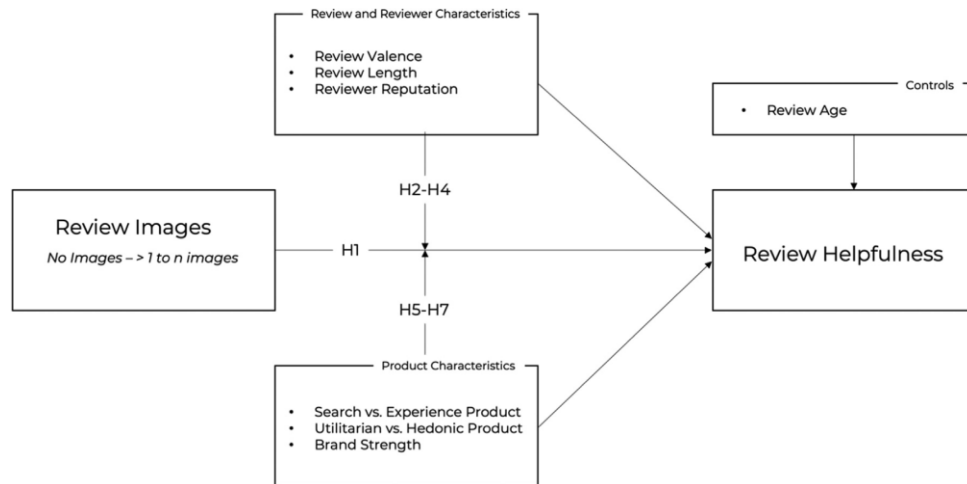
Beside textual information, reviews also often **include images** that can help consumers to better judge products or services.

Data: Set of 97,000 reviews from Amazon to investigate the contingencies under which review images increase review helpfulness.

6,000 images in data set to explore **how review image content** (i.e., image focus and context fit) drives review **helpfulness**

Variable	Definition	Examples (from mascara reviews*)
Image Focus	Focus (i.e., product versus application) of the image included in the review	Product Focus  Low
		Application Focus  High
Context Fit	Fit between the reviewed product and the objects displayed in the image	 

* Selected images have been recreated by the authors to avoid copyright issues.

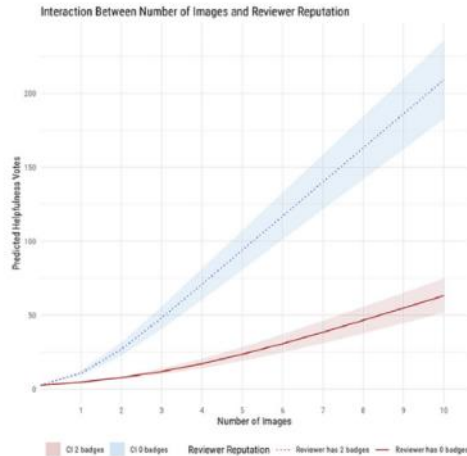
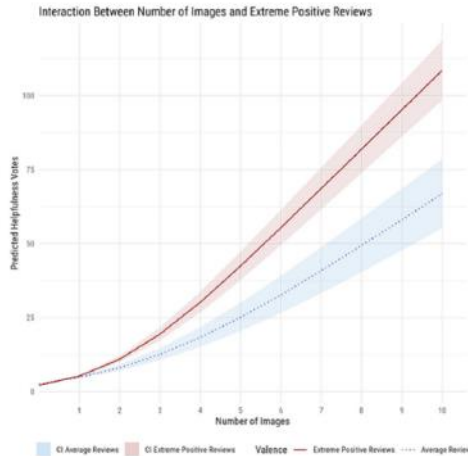


The Impact of Review Images

Online retailers should motivate consumers to include images in a review when:

- (i) overall rating is **extremely positive**,
- (ii) when the reviewer has a **high reputation**,
- (iii) when the review addresses a **hedonic or experience product**.

Images help to increase helpfulness when they show the product in application. This effect is especially strong in the case of **longer reviews**.



Category	Search	Experience	Hedonic	Utilitarian
DVD Player	X		X	
Digital Photo Frame	X		X	
Smartphone	X		X	
Computer Adapter	X			X
Printer	X			X
Electric Toothbrush	X			X
Mascara		X	X	
Lipstick		X	X	
Party Dress		X	X	
Microwave Oven		X		X
Vacuum Cleaner		X		X
Razor		X		X

Different Rating Formats: Star vs Numeric

Consumers rely heavily on product ratings when making purchase decisions.

Websites may show customer ratings in **different shapes, colors, or formats**. For example, some websites present their rating in a numerical format (e.g., 4.0/5) while others utilize an analog format (stars)

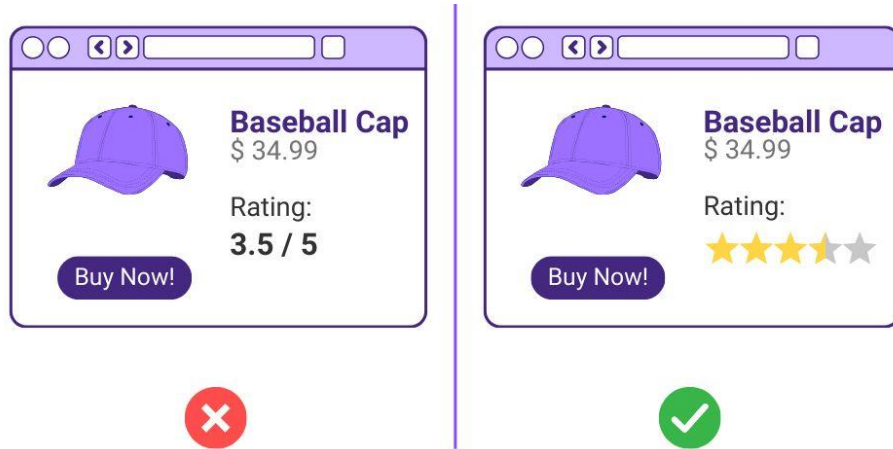
Scientists ran 9 experiments and found that when ratings were shown as **stars, circles, or other symbols (vs numbers)**:

	Half Ratings	Whole Ratings
Analog and numerical ratings	 ★★★★★	 ★★★★★
	 1.5/5	 1.0/5

Different Rating Formats: Star vs Numeric

Use **Stars** vs Numbers for Product Ratings – They seem **higher**.

People were up to 10% more likely to say they'd buy the product . Ads had up to 53% higher CTR. Products were rated up to 25.7% higher.



Different Rating Formats: Star vs Numeric

WHY -- When we look at numbers, we tend to focus on the leftmost digit.

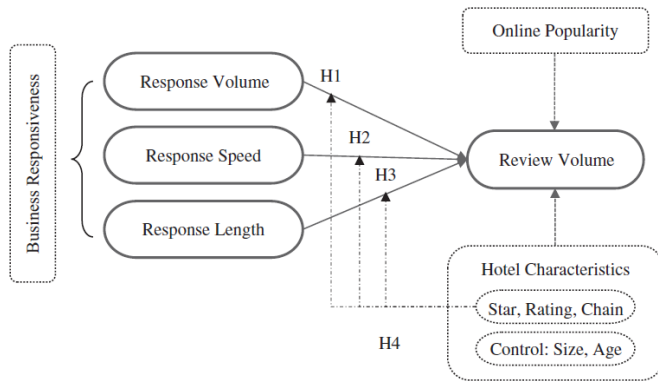
-We also round it down in our head (e.g. 3.7 becomes 3), which makes the number feel smaller

The effect of rating format appears to be very impactful for midpoint ratings. We focus our investigations on ratings between 3 and 4 (out of 5)

Numerical Rating	Analog Rating
 Bluetooth Portable Speaker - Compact Size 3.2/5  Bluetooth Portable Speaker - Compact Size 3.8/5	 Bluetooth Portable Speaker - Compact Size ★★★★☆  Bluetooth Portable Speaker - Compact Size ★★★★☆

Firm Side: Would being Responsive to Reviews Pay-Off ?

- Responsive firms have **larger daily and future review volume** than non-responsive firms
 - **Response Speed** also have a positive impact on customer review volume whereas **Response Length** found to have NO significant impact
- Thus: to create more customer engagement: **Be responsive and respond fast.**





Rude service
Review of The Landmark London
 Reviewed July 25, 2009

A TripAdvisor Member

I stayed here when there a some sort of football team staying. I was taking pictures of the hotel when a security person came over and asked me to leave. I said that I was a guest and he argued back that I was photographer and squared up to me as if for a fight. I left and went round to the front desk to get back into the hotel. The room we had smelt of smoke and had hardly no natural light. Never again.
[Show less](#)

Date of stay: August 2008
Trip type: Traveled on business

 Value
  Location

 Rooms
  Cleanliness
  Service

[Ask a question about The Landmark London](#)

 2 Thank A TripAdvisor Member

This review is the subjective opinion of a TripAdvisor member and not of TripAdvisor LLC.

LandmarkLondonHotel, Marketing Team at The Landmark London, responded to this review
 Responded August 3, 2009

We are truly sorry that you did not enjoy your experience with us. While we are happy for guests to take photographs of the hotel, the security and safety of all our guests are of prime importance to us and if other guests make a complaint then our Security will have to look into it. However, in this instance it seems that our Security were over zealous and for this we would like to offer you our sincerest apologies. Please rest assure that we will look into this. With regards to the smell of, we offer our guests the choice of five non-smoking floors and one smoking floor as we try to

Search Marketing

Search Marketing

Search behavior refers essentially to behavior on **search engines**

Search also encompasses the use of other tools and digital platforms (i.e: directories, social media or Q&A websites).

Definition: Search Stage consist of all pre-purchase activities a customer is engaged with while searching for a product but also while comparing the products, obtaining and collecting information about products and services.

Search Stage: captures the most touchpoint rich and longest phase in customer journeys for most industries.



Search Marketing: Customer Initiated

In contrast to traditional marketing – in Search Marketing, the customer is the one taking the main initiative and starting the process.

Search Marketing offers are only and **only there-visible** to the customer **if the customer initiates the search process**.



Search Journey: Customer Journey Map through Search Keywords

It is not only “clicks” – but **Search Queries (Keywords)** can actively be used to map customer journeys effectively.

“Search keywords” can help us assess at what **(activation) stage of their customer journey** a customer is !

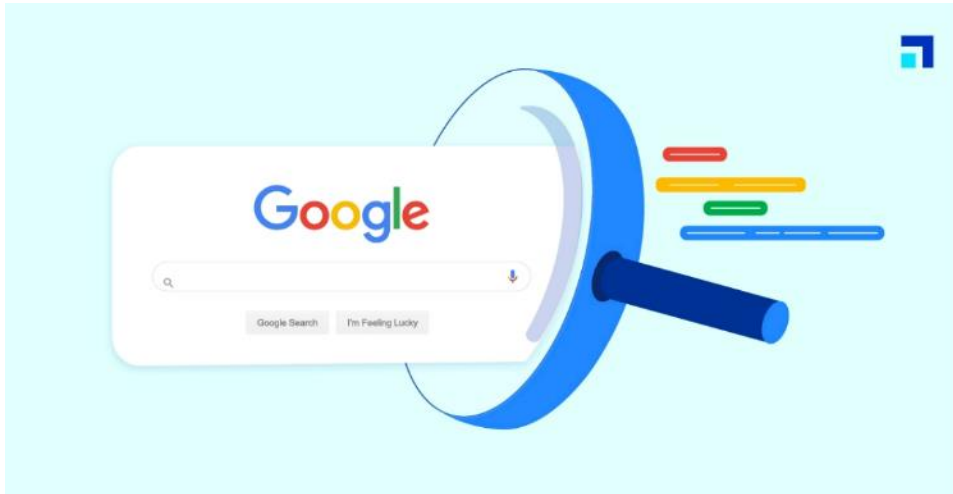
*If a customer searches the keyword “Audi” we may think they is **yet at initial stages** – how about if they searches: “**Audi A4 Avant 2024 Amsterdam**”*



Search: three stages of Google Search

Google Search works in three stages, and not all pages make it through each stage:

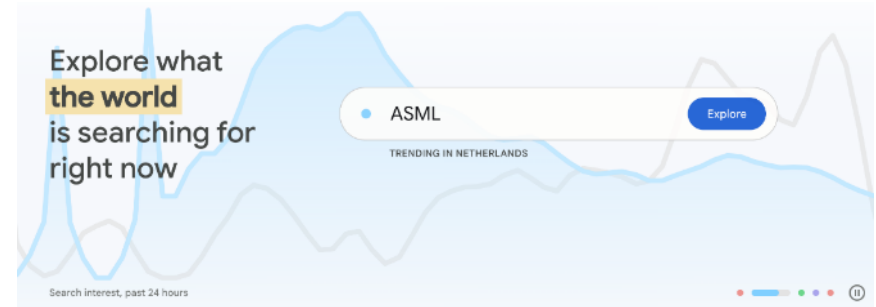
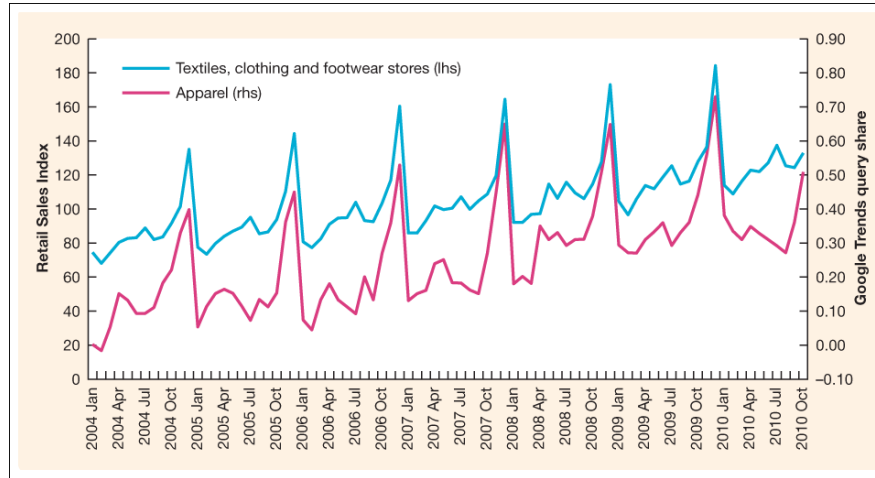
- **Crawling:** Google downloads text, images, and videos from pages it found on the internet with automated programs called crawlers.
- **Indexing:** Google analyzes the text, images, and video files on the page, and stores the information in the Google index
- **Serving search results:** When a user searches on Google, Google returns information that's relevant to the user's query.



Search: Predicts Sales

Online SEARCH behavior is a good predictor for online PURCHASES.

Check out the time trend in the chart: See how can we predict sales by looking at online search queries for a category.

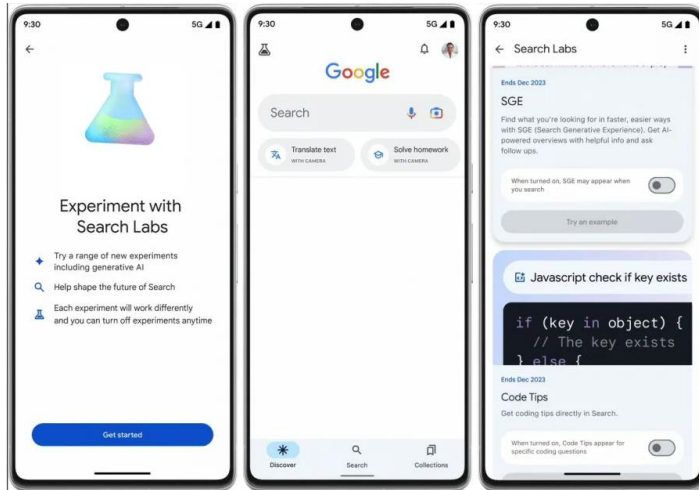


Correlation between search volume in Google Trends and retail sales volume Source: Chamberlin (2010)

Google trends: <https://trends.google.com/trends/>

Search: Practice & See Examples on Google Search Labs

- The evolution of search formats includes **generative AI** reorganizing information and new filters showcasing diverse experiences.
- **Search Labs is a program for people to experiment with early-stage Google Search experiences and share feedback..**

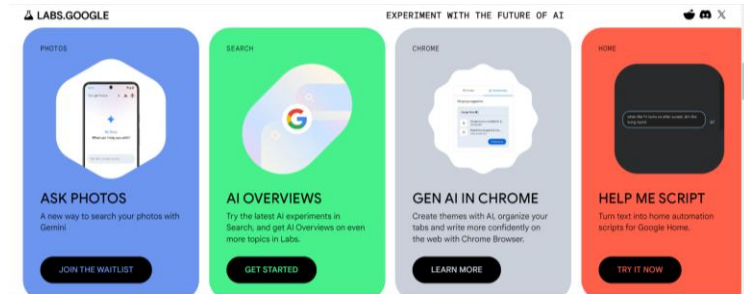


Google

Shall we give it a try?



[CLICK LINK: SEARCH LABS](#)



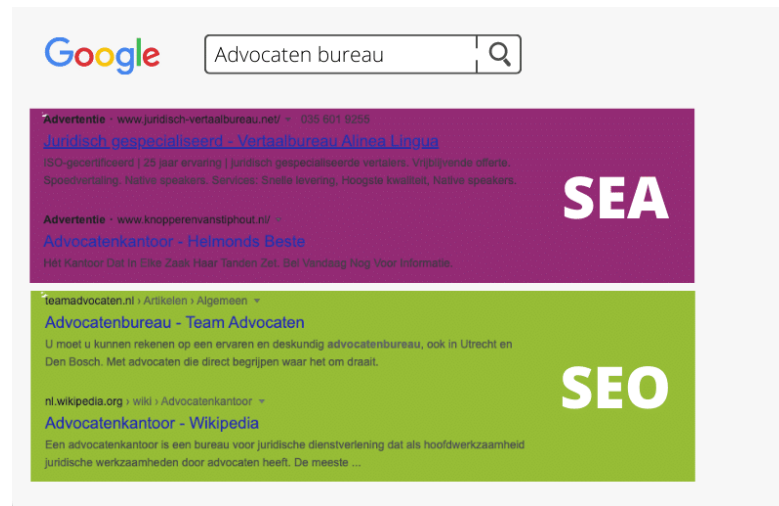
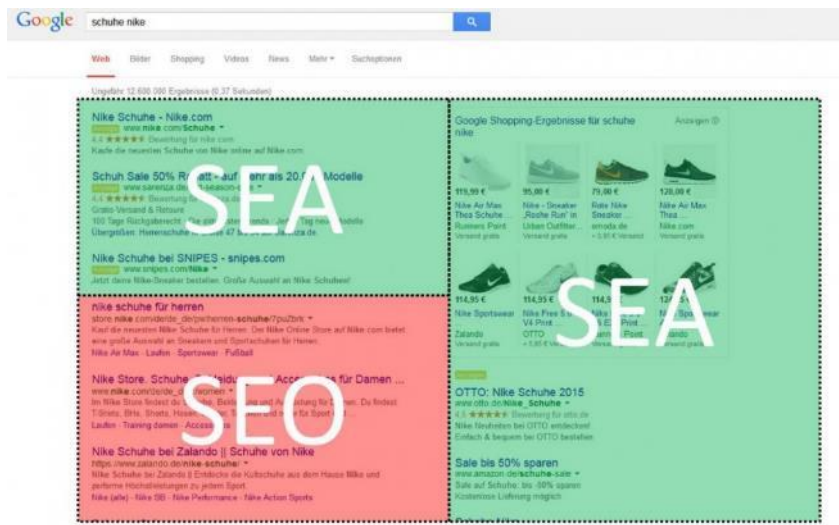
Search Engine Marketing SEA & SEO

Search Engine Optimization (SEO) vs Search Engine Advertising (SEA)

See below: You can easily distinguish the organic (SEO) and paid (SEA) sections on a typical Google search results screen.

In your age group/ generation you are easily able to distinguish and tell which is organic which is sponsored research result.

*Now think **are all internet users able to distinguish that so quickly** – think of your father, grandfather ?*



In literature/marketing practice SEA is also named as “paid search” or “sponsored search”

Search Engine Optimization (SEO) vs Search Engine Advertising (SEA)

Search Engine Optimization (SEO)

*Search engine displays results based on “**relevance**”: How do I make my website relevant for the searched keyword?*

Search Engine Advertising (SEA)

*Search engine auctions its advertisement space. Position in search results determined mainly by “**bid**” and **other factors**.*

How much better is it to be #1 vs. #2? How much do I bid for someone searching “vacation Greece”?



Search Engine Optimization

Organic Search Results

Search Engine Optimization: Value

Why does it so much matter to have a higher, preferably #1 ranking in organic search results?

Isn't it good enough to have (let's say) #4 position among hundreds of firms or competitors in the industry?

Check the graph below: See how CTR drops from 39% to 7% while going from #1 to #4 in organic search results.

Google Search Feature	CTR
Ad Position 1	2.1%
Ad Position 2	1.4%
Ad Position 3	1.3%
Ad Position 4	1.2%
Search Position 1	39.8%*
Search Position 2	18.7%**
Search Position 3	10.2%
Search Position 4	7.2%
Search Position 5	5.1%
Search Position 6	4.4%
Search Position 7	3.0%
Search Position 8	2.1%
Search Position 9	1.9%
Search Position 10 (if present)	1.6%

The screenshot shows a Google search for "customer data platform". The results are divided into "Ads" and "Organic" sections. The "Ads" section includes results from Bloomreach, segment.com, and Tealium. The "Organic" section includes results from Tealium, HubSpot, and Wikipedia. CTR annotations are provided for several results: Ad 1 (2.1%), Ad 2 (1.4%), #1 (39.8%), #2 (18.7%), #3 (10.2%), and #4 (7.4%). The annotations for organic results are in green boxes, while the annotations for ads are in blue boxes.

Rank	Search Feature	CTR
Ad 1	Customer Data Platform Customer Data Platform Company	2.1%
Ad 2	Customer Data Platform Request A Demo segment.com	1.4%
#1	What is a Customer Data Platform CDP - Tealium	39.8%
#2	What's a Customer Data Platform? The Ultimate Guide to CDPs	18.7%
#3	Customer data platform - Wikipedia	10.2%
#4	What is a customer data platform (CDP) and why do marketers ...	7.4%

SEO: On-Page and Off-Page Optimization

On-Page optimisation:

Keyword frequency and density

Keyword in headings/ in document name

Meta name description & keywords

Off-Page optimisation:

Link anchor text contains keyword

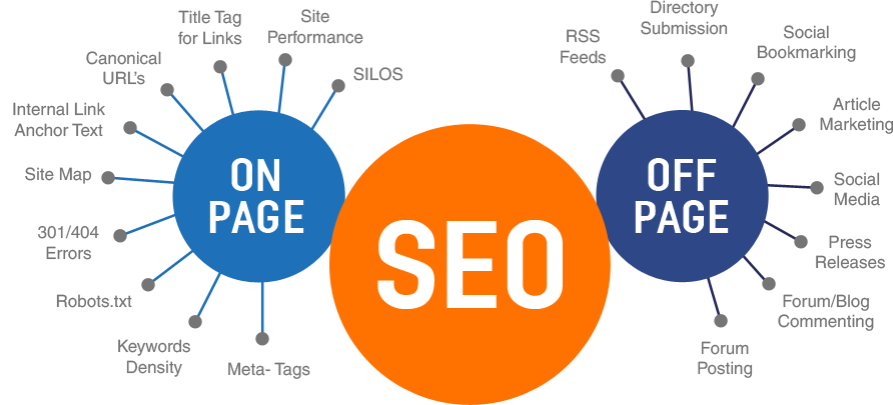
Page assessed as a hub/as an authority

Social media, Press and Blog signals (newer ranking signal)

链接锚文本包含关键词

页面被评为中心页面/权威页面

社交媒体、媒体和博客信号（较新的排名信号）



SEO: On-Page and Off-Page Optimization

Although serving the same end-goal: on-site and off-site SEO are complementary and focus on different practical purposes.

The main end-goal is to have a higher position (#) in organic search results.



ON-PAGE SEO

Shows search crawlers what a website is about. It helps search engines see that a page is a good search result because it is relevant and useful.



OFF-PAGE SEO

Shows search crawlers that a website is important and valuable. It helps search engines see that a page is a good search result because the brand and website are authoritative and popular.

On-Page SEO Optimisation

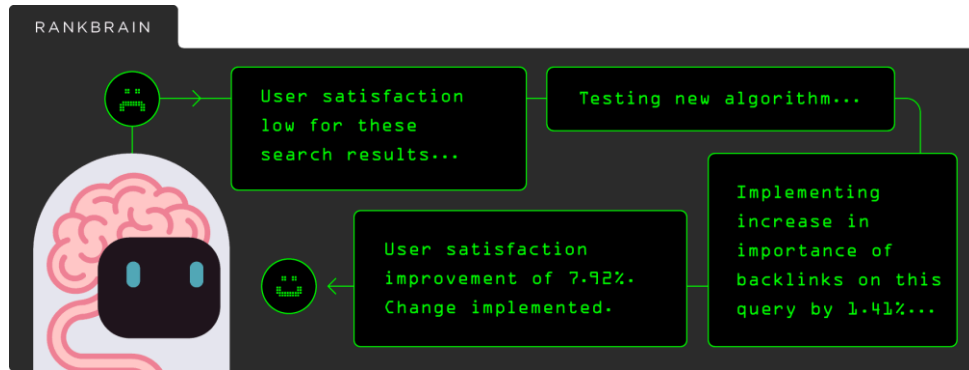
- Website Planning / Architecture
- Title Tag
- Meta Tags
 - Keywords
 - Description
- Robots.txt
- Website Content
 - Keywords, Key Phrases, Long tail keywords
 - H1, H2, H3 Tags
 - Hyperlinks, Alternate Texts
 - Image Optimization
- SEF (Search Engine Friendly) URL
 - Bread Crumbs
 - Web Page Links
 - Web Page internal linking
 - Internal Anchor Links
 - Sitemap (For Easy SE Indexing)
- W3C Validation (Script Validation)

Off-Page SEO Optimisation

- Link Popularity Analysis
- Competition Analysis
- Link Building
 - One Way Links
 - Reciprocal Links
 - Multiple Way Links
- Search Engine Submission
- Directory Submission
- Press Release Submission
- Article Submission
- Social Media Optimization
- Participation in Blogs, Forums, Online Community and discussion boards

SEO: Google Ranking Factors

- *A few years ago, 15% of the keywords that people typed into Google were never seen before.*
- *Before RankBrain, Google would scan pages to see if they contained the exact keyword someone searched for.*
- *Today, RankBrain tries to actually figure out what you mean.*



RankBrain has two main jobs:

1. Understanding search queries (keywords)
2. Measuring how people interact with results (user satisfaction)

SEO: Google RankBrain or How Pages are Ranked

RankBrain evaluates pages in “real time” : **whether the page satisfies the users’s search intent...** but how?

- **Click through rate** (percentage of users who click to visit)
- **Bounce rate** (users who bounce back as they haven’t been served most relevant content)
- **Dwell time** (how long someone stayed on your site after they’ve arrived)
- **Pogo sticking** (when a search engine users visits several different search results to find a result that satisfies their search query)

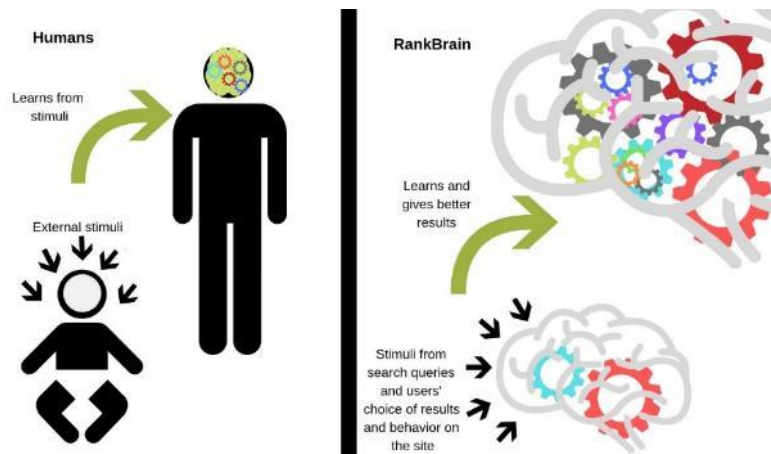
2 为什么叫 Pogo sticking (搜索语境) ?

在搜索引擎里:

👉 用户 点一个搜索结果 → 很快返回 → 再点下一个 → 再返回

👉 行为像 在搜索结果页和网站之间“来回弹跳”

所以叫 pogo sticking (像踩着弹跳杆一样跳来跳去)



Search Engine Advertising

Paid or Sponsored Search Results

Search Engine Advertising: Paid or Sponsored Search

SEA results appear on top and side (mostly right) side of the search results page.

SEA is also named as Paid or Sponsored search in practice.

SEA results are more product specific – when there is a branded/targeted search with the brand name.

Search 1: "a modo mio"

Search results for "a modo mio" (About 1,750,000 results (0.75 seconds)).

Sponsored Result: Lavazza A Modo Mio - Acquista Online - lavazza.it
[Ad] store.lavazza.it/A_Modo_Mio/Macchine
Le macchine da caffè che trasformano le miscele migliori in espresso perfetto. Torino, 1894 - 120 Anni di Passione - Spedizione Gratis da 46€ - Store Ufficiale - Cultura Del Caffè
Tipi: Capsule Caffè, Macchine Caffè, Tazze Espresso, Tazze Cappuccino, Ricambi Macchine, Portaca...

Annotations:
- Arrow from "a modo mio" to the search bar.
- Text: "I'm already know the brand/product that I'm interested in!"
- Arrow from "I'm just interested in a product category, not specific brand yet." to the sponsored result.

Search 2: "macchina espresso"

Search results for "macchina espresso" (About 498,000 results (0.69 seconds)).

Sponsored Result: Shop for macchina espresso on Google
[Sponsored]
Macchine caffè espresso a... €199.00 Musetti Srl
LA PRIVONI PROFESSION/ €577.00 Coffee Italia ...
SAECO HD8423/11 €99.99 mediaworld.it Free shipping
PROMOZIONE MACCHINA... €109.00 Cialdella
SAECO HD8423/22 €109.99 mediaworld.it Free shipping
X1 Macinato Marsala - ... €549.00 ily online shop Free shipping

Annotations:
- Arrow from "macchina espresso" to the search bar.
- Arrow from "I'm just interested in a product category, not specific brand yet." to the sponsored shopping carousel.

Search 3: "Lavazza A Modo Mio - Prezzo Speciale Macchine - lavazza.it"

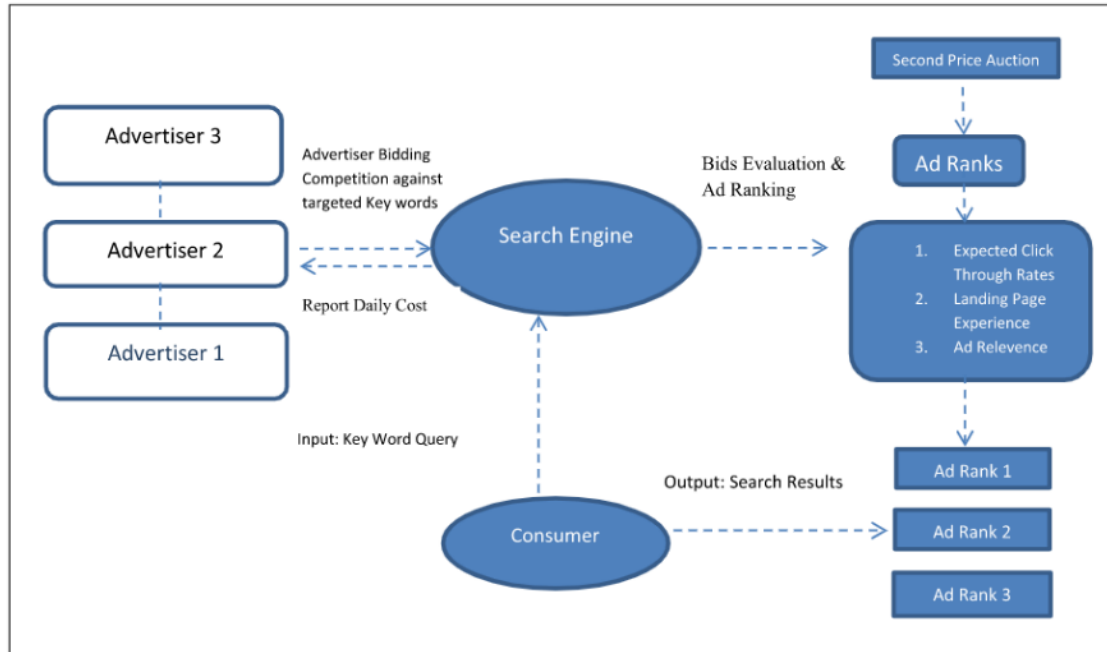
Search results for "Lavazza A Modo Mio - Prezzo Speciale Macchine - lavazza.it" (About 100 results (0.12 seconds)).

Sponsored Result: [Ad] store.lavazza.it/ ...
Scorri dal 10% sulle macchine espresso A Modo Mio
Tipi: Capsule Caffè, Macchine Caffè, Tazze Espresso, Tazze Cappuccino, Ricambi Macchine, Portaca...

Search Engine Advertising: Paid or Sponsored Search

Here is a visual framework on how Search Engine Advertising works.

Check the interaction-exchange between different components-stakeholders such as: (i) publisher, (ii) advertiser, (iii) search engine (iv) customer.



Search Engine Advertising: Customer Initiated & Keyword Based

In SEA a brand **can only initiate the advertisement** when the potential customer is searching for **certain keywords**:

- *Keywords should not be limited to what you are trying to communicate, especially if the novelty of message is high*
- *Anticipate which keywords are likely to be used when your potential customers are performing searches*

From long to medium tail: Today, RankBrain understands that variations of long-tail terms are basically the same thing.

It is better to organize a page around a medium tail keyword. RankBrain will automatically rank the page for that term... and thousands of similar keywords.

Keyword	Search Volume
Paleo Diet	368,000
Paleo	74,000
Paleo Diet Recipes	9,900
Paleo Diet Food List	9,000
Paleo Meal Plan	6,600
Can You Eat Rice on the Paleo Diet	260
14 Day Paleo Diet	210



SEA and Ad-Ranking: Google AdWords Data

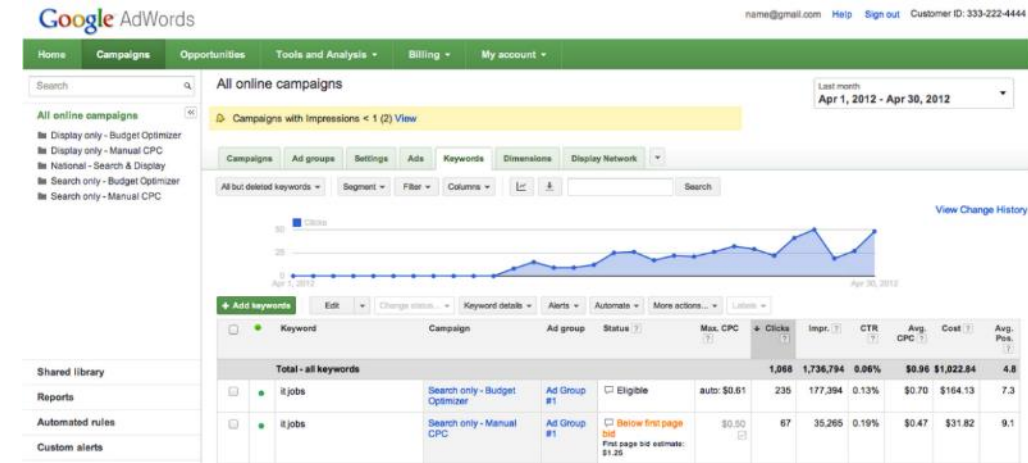
Google provides:

All kinds of insights on your historical data: impressions, clicks, conversions, costs, etc.

Google does NOT provide:

Other users information (you don't know your competitors bid) – though you can guess through resulting positions from bidding results !

Statistics on individual searches (only aggregated per day, week etc.)



SEA and Ad-Ranking: Google AdWords Terminology

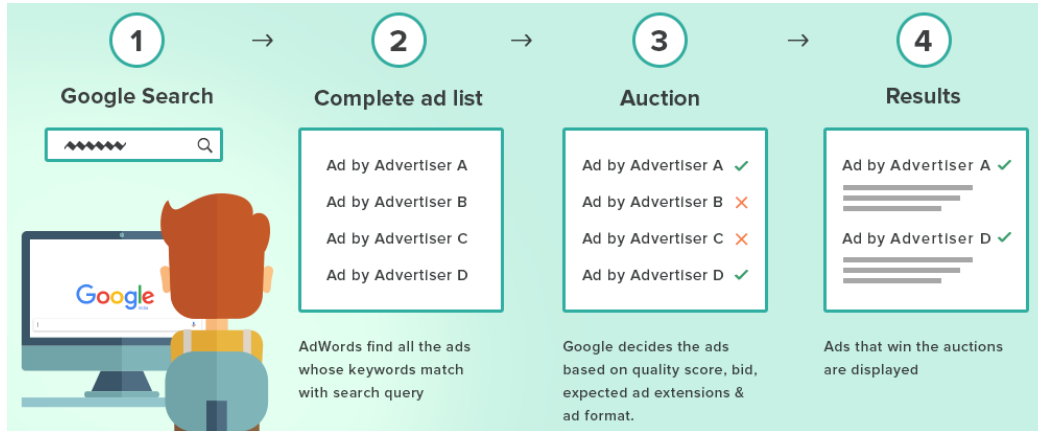
Rank/Position Terms

- Keyword
- AdGroup / AdCampaign
- Quality Score (1-10)
- Rank (or Position) (1-up)

Pricing Related Terms

- CPC (Cost per Click)
- CPM/CPA (Cost per Mille/Acquisition)
- CTR (Click Through Rate)
- CR (Conversion Rate)

NEXT LECTURE

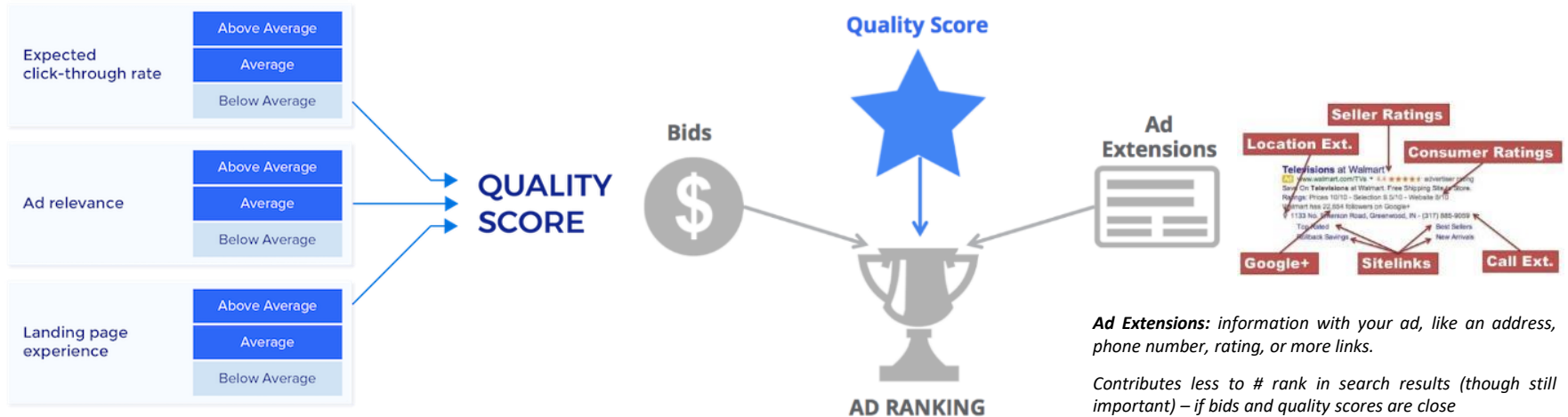


SEA & Ad-Ranking: Google AdWords

Although SEA is a bid-based paid form of online advertising – the # position in search results is NOT only determined by the bid (€)

Along with the placed-bid (€): two other factors are also influential in paid-search results # position:

(1) Bid (2) Quality Score (3) Ad Extensions --- > # Rank in Paid Search Results



SEA: Effect on Customer Lifetime Value

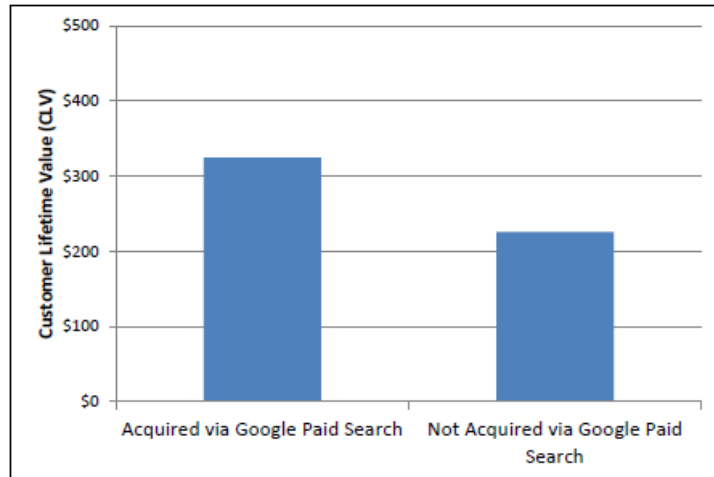
Most people (claim) they never click Sponsored Search (SEA) results – How about you ? Do you click on Sponsored search results ?

Then why do still almost all firms use it intensively?

In terms of Customer Lifetime Value (CLV) Search Engine Advertising Produces Better Customers than Non-Search

一个客户在其整个生命周期内，为企业带来的预期净利润的现值。

*Customers acquired through paid search (SEA) has **HIGHER Customer Life Time Value** than other customers not-acquired by google paid search.*



Who do you think these people mostly acquired by SEA?

1 Extremely/Knowledgeable – Targeted

2 The opposite: Less tech-savvy. I.E. Senior people with less online experience

懂行的人：精准搜索；不懂技术的人：依赖直觉与界面提示

SEA: (Indirect) Impact on Mindset Metrics

But still many (majority) of people do NOT even click SEA results – why do firms use it?

SEA has significant effects on several consumer metrics, even among consumers who do not click on the sponsored advertisement.

*SEA (sponsored search results) increase: **Ad Awareness and Brand Image – even if when they are NOT clicked.***

Therefore – we also conclude even if they do not click most people **see/look at SEA results.**

	<i>Search</i>	<i>Search & Click</i>	<i>TV</i>	<i>Banner</i>
<i>Advertising Awareness</i>	0.133** (0.019)	0.115** (0.026)	0.221** (0.026)	-0.005 (0.01)
<i>Brand Awareness</i>	0.054 (0.035)	0.015 (0.052)	0.121** (0.034)	0.001 (0.013)
<i>Brand Image</i>	0.089** (0.036)	0.144** (0.049)	0.486** (0.048)	-0.007 (0.017)
<i>Brand Consumption</i>	0.067 (0.035)	0.073 (0.052)	0.308** (0.047)	0.003 (0.017)

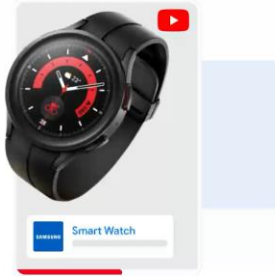
Estimated Mean Advertising Media Elasticities of Consumer Metrics.

SEA & AI: Demand Gen & Performance Max

Google AI-powered **Demand Gen campaigns**, which use visually appealing, multiformat video ads to capture engagement and action across YouTube.

Performance Max: Digital marketers can quickly create text and image assets for campaigns using **Google AI**, which crafts materials that engage customers across Google's various ad formats. Performance Max considers performance data to recommend or produce assets, enhancing the effectiveness of their ads.

Samsung achieved
400% CTR uplift with
Demand Gen campaigns.



SEO vs SEA:

Not Rivals – Work in Synergy

When are Customers More Likely to Click SEA (Paid) vs SEO (Organic)

Not Surprisingly: **keyword popularity** is a key determinant of consumer **click behavior** after a keyword search.

Consumers' click activity after a keyword search is **low** and **heavily concentrated on the organic list**.

However, searches of **less popular keywords** are associated with **more clicks per search** and a **larger fraction of sponsored clicks**.

This indicates that, compared with more popular keywords, consumers who search for less popular keywords expend more effort in their search for information and are closer to a purchase, which makes them more targetable for sponsored search advertising.



热门关键词的点击量主要集中在自然搜索结果上，而不太热门的关键词每次搜索产生的点击量更多，付费点击的比例也更高，这表明购买意愿更高，付费搜索广告的效果也更好。

关键词类型	用户状态	点击行为	SEO / SEA 价值
热门关键词	早期探索	点击少，集中在 SEO	SEO 更重要
冷门关键词	接近购买	点击多，广告占比高	SEA 更有效

Search Engine Optimization (SEO) vs Search Engine Advertising (SEA)

Search Engine Optimization (SEO)

*Search engine displays results based on “**relevance**”: How do I make my website relevant for the searched keyword?*

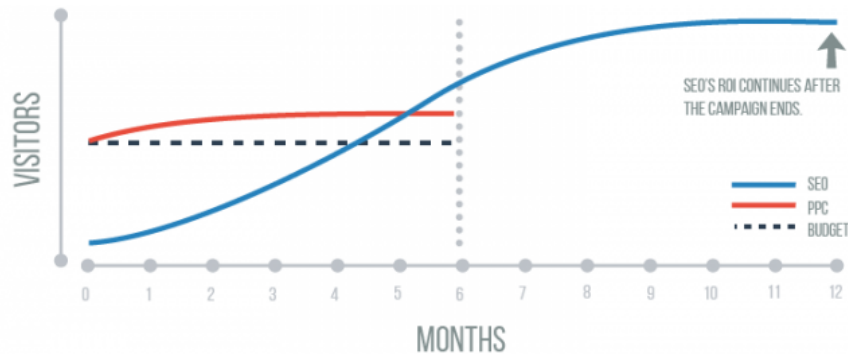
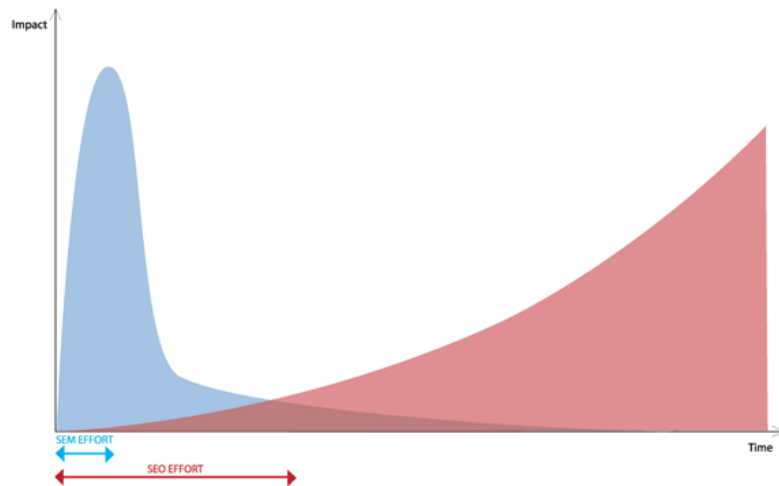
Search Engine Advertising (SEA)

*Search engine auctions its advertisement space. Position in search results determined mainly by “**bid**” **and other factors**.*



SEO vs SEA: Not Rivals – They are Synergetic

- SEO takes longer time and investment to see its positive outcomes – but its **impact increases over time and long-lasting**.
- SEA if implemented in a right-way leads to **high immediate effect**, but its impact is not as long-lasting and permanent as SEO efforts.
- Thus SEO should be considered for **mid/long-term objectives**.
- If the marketer is in a position to make a **quick-tactical campaign** with immediate effects SEA is useful.



Thank You